

Technical Anomalies

Another major debate in the investing world revolves around whether past securities prices can be used to predict future securities prices. “Technical analysis” encompasses a number of techniques that attempt to forecast securities prices by studying past prices. Sometimes, technical analysis reveals inconsistencies with respect to the efficient market hypothesis; these are technical anomalies. Common technical analysis strategies are based on relative strength and moving averages, as well as on support and resistance. While a full discussion of these strategies would prove too intricate for our purposes, there are many excellent books on the subject of technical analysis. In general, the majority of research-focused technical analysis trading methods (and, therefore, by extension, the weak-form efficient market hypothesis) finds that prices adjust rapidly in response to new stock market information and that technical analysis techniques are not likely to provide any advantage to investors who use them. However, proponents continue to argue the validity of certain technical strategies.

Calendar Anomalies

One calendar anomaly is known as “The January Effect.” Historically, stocks in general and small stocks in particular have delivered abnormally high returns during the month of January. Robert Haugen and Philippe Jorion, two researchers on the subject, note that “the January Effect is, perhaps, the best-known example of anomalous behavior in security markets throughout the world.”¹⁵ The January Effect is particularly illuminating because it hasn’t disappeared, despite being well known for 25 years (according to arbitrage theory, anomalies should disappear as traders attempt to exploit them in advance).

The January Effect is attributed to stocks rebounding following year-end tax selling. Individual stocks depressed near year-end are more likely to be sold for tax-loss harvesting. Some researchers have also begun to identify a “December Effect,” which stems both from the requirement that many mutual funds report holdings as well as from investors buying in advance of potential January increases.

Additionally, there is a Turn-of-the-Month Effect. Studies have shown that stocks show higher returns on the last and on the first four days of each month relative to the other days. Frank Russell Company examined returns of the Standard & Poor’s (S&P) 500 over a 65-year period and found that U.S. large-cap stocks consistently generate higher returns at the turn of the month.¹⁶ Some believe that this effect is due to end-of-month cash flows (salaries, mortgages, credit cards, etc.). Chris Hensel and William Ziemba